Housing Affordability and Real Estate Market in Canada

ECON 204 – Contemporary Economic Issues

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Winter 2026

Introduction

- Housing affordability has become one of the most pressing economic challenges in Canada.
- Housing costs directly shape daily living standards, long-term financial security, and wealth accumulation.
- Housing is the largest single expenditure for most households and the dominant asset on household balance sheets.
- Changes in affordability affect inequality, intergenerational mobility, and financial stability.
- Since the mid-2000s, and especially after the COVID-19 pandemic, prices and rents rose faster than incomes in many regions.
- After 2022, higher interest rates slowed price growth, but affordability remained strained due to higher borrowing costs and tighter rental markets.

What Is Housing Affordability?

Key Concept

Housing affordability refers to the ability of households to obtain adequate housing without excessive financial strain, given their income, wealth, and access to credit.

- Affordability is a relationship, not a price level.
- High prices do not automatically imply unaffordability if incomes are high or financing costs are low.
- Moderate prices can be unaffordable if incomes are low or credit conditions are tight.

Price-to-Income Measures

- A widely used indicator is the price-to-income ratio:

$$PTI = \frac{\text{House Price}}{\text{Annual Household Income}}.$$

- Historically, PTI ratios around 3–4 were common in many Canadian cities.
- Ratios above 7–8 reflect a breakdown in the traditional link between incomes and housing prices.

Worked Numerical Example: Price-to-Income Ratio

Worked Numerical Example

Suppose the median house price in a Canadian city is \$900,000 and the median household income is \$110,000. The price-to-income ratio is:

$$PTI = \frac{900{,}000}{110{,}000} \approx 8.18.$$

This implies that the price of a typical home is more than eight times annual household income, a level widely regarded as severely unaffordable.

Payment-Based Affordability

- Many households experience affordability through monthly cash flow rather than prices.
- Payment-based measures focus on the shelter-cost-to-income ratio:

$$\text{Shelter Burden} = \frac{\text{Monthly Housing Costs}}{\text{Monthly Income}}.$$

- This measure is especially important in Canada, where mortgage payments can change significantly at renewal.

Worked Numerical Example: Shelter Burden

Worked Numerical Example

A household earns \$6,000 per month after tax. If mortgage payments, property taxes, and utilities sum to \$2,700 per month, the shelter burden is:

$$\frac{2{,}700}{6{,}000} = 45\%.$$

This household is housing-cost burdened even if the home value is high.

Affordability Metrics: Summary Table

Metric	**Definition**	**Economic Interpretation**
Price-to-income ratio (PTI)	$PTI = \frac{\text{House Price}}{\text{Annual Household Income}}$	Captures the gap between prices and incomes; highlights long-run affordability stress.
Shelter burden	$\text{Burden} = \frac{\text{Monthly Housing Costs}}{\text{Monthly Income}}$	Captures cash-flow pressure; central when borrowing costs reset at mortgage renewal.

Housing as a Consumption Good and an Asset

- Housing plays two distinct economic roles at the same time.
- First, housing is a consumption good: households consume housing services (shelter, space, safety, location).
- If housing were only a consumption good, prices would be closely tied to fundamentals such as rents and incomes.
- Second, housing is also a store of wealth and an investment asset.
- Expectations about future house prices influence demand, similar to how expected stock returns influence stock demand.

Why Prices Can Diverge from Rents or Incomes

- Because housing is both consumption and investment, demand depends on:
  - current ability to pay for shelter services, and
  - expected future returns (expected appreciation).
- When expected appreciation is high, the perceived long-run cost of ownership falls.
- Buyers may stretch financially today because they expect capital gains tomorrow.
- As a result, housing prices can diverge from fundamentals such as rents or incomes.

Concrete Example: Expectations and Divergence

- Suppose two cities have identical rents and incomes.
- In City A, households expect house prices to be stable.
- In City B, households expect prices to rise by 5 percent per year.
- Demand for ownership will be higher in City B because buyers expect capital gains.
- House prices in City B will be higher and the price-to-rent ratio will be larger, even if rental fundamentals are identical.

Demand-Side Drivers of Housing Affordability in Canada

- Demand-side drivers increase households' willingness and ability to pay for housing at any given price.
- In Canada, demand forces have been unusually strong and persistent.
- The impact on affordability depends critically on the responsiveness of housing supply.
- When supply adjusts slowly, demand increases show up mainly as higher prices and rents rather than more housing.

Population Growth and Household Formation

- Rapid population growth is a major driver (immigration, temporary residents, international students, natural increase).
- Population growth raises housing demand immediately because new households need housing upon arrival.
- Affordability deteriorates when household formation exceeds housing completions.
- Effects are pronounced in large metropolitan areas where inflows are concentrated.

Income Growth and Income Dispersion

- Affordability depends on average income growth and the distribution of income.
- Higher-income households often have greater bidding power in desirable locations.
- Housing prices can reflect the purchasing power of the upper part of the income distribution rather than the median household.
- This can generate widespread affordability challenges even when aggregate income indicators appear strong.

Credit Conditions and Interest Rates

- Housing affordability depends on income and how much households can borrow.
- Lower interest rates increase the mortgage size that can be serviced at a given payment, raising effective demand.
- Long periods of low rates increased borrowing capacity and allowed households to bid up prices.
- Rate increases reduce borrowing capacity, but can worsen affordability in the short run through renewal payment increases and tighter rental markets.

Expectations of Future House Prices

- When households expect prices to rise, ownership becomes more attractive as both shelter and investment.
- Expected appreciation reduces the perceived long-run cost of ownership.
- This can generate self-reinforcing demand: rising prices attract buyers, which pushes prices higher.
- These dynamics can occur even among forward-looking and risk-aware households.

Demographic and Life-Cycle Factors

- Life-cycle household formation patterns affect housing demand.
- Large cohorts entering prime home-buying ages increase demand for ownership housing.
- Longer life expectancy and aging in place reduce turnover in the existing housing stock.
- Affordability constraints delay homeownership for younger households, increasing rental demand and raising rents.

Urban Concentration and Location Preferences

- Housing demand is increasingly concentrated in large urban centres where jobs and amenities cluster.
- Even if national supply expands, affordability can deteriorate locally when demand is spatially concentrated and supply responses are slow.
- Spillovers occur as households priced out of central cities relocate outward, transmitting demand pressure across regions.

Supply Constraints and Price Dynamics

- Supply constraints explain why affordability deteriorates sharply when demand increases.
- Housing supply is slow to adjust because housing is durable, land-intensive, and heavily regulated.
- In the short run, supply is relatively fixed, so prices rise to clear the market when demand increases.
- Supply elasticity determines whether adjustment occurs through quantities (construction) or prices.

Housing Supply Elasticity

- Housing supply elasticity measures how responsive housing construction is to changes in prices.
- In elastic markets: higher prices lead to substantial increases in construction.
- In inelastic markets: higher prices generate little additional construction; adjustment occurs mostly through prices.
- Evidence indicates supply is relatively inelastic in many large Canadian metropolitan areas.

Land-Use Regulation and Permitting

- Zoning rules that limit density, building heights, or reserve areas for single-family housing constrain construction.
- Lengthy approval processes and permitting uncertainty discourage rapid supply expansion.
- Developer delays reduce the ability to respond quickly to rising prices, reinforcing affordability pressures.

Geographic Constraints and Construction Capacity

- Geography can limit developable land (coastlines, mountains, protected land).
- Expanding supply may require costly redevelopment or higher density, often facing political resistance.
- Construction capacity constraints (labour shortages, materials costs, infrastructure limits) can slow the pace of building.
- These constraints become binding during rapid demand growth.

Persistence and Distributional Effects

- When supply responds slowly, prices do not quickly revert after a demand shock dissipates.
- Elevated prices can become embedded if households and investors expect constraints to persist.
- Scarcity rations access through prices: higher-income households absorb increases more easily.
- Lower- and middle-income households shift to smaller dwellings, longer commutes, or renting, increasing inequality and spatial segregation.

Canadian Housing Market Case Studies

- Housing markets in Canada are highly regional; national averages conceal local differences.
- Comparing regions shows how shared forces (population growth, rates, income dynamics) interact with local supply elasticity and policy environments.
- There is no single Canadian housing market; there are distinct local markets responding to common pressures.

Vancouver: Inelastic Supply and Price Capitalization

- Strong demand supported by high incomes, amenities, and sustained population growth.
- Supply constrained by geography (mountains and ocean), limited developable land, and restrictive land-use regulation.
- With inelastic supply, even small demand shocks can generate large price increases.
- Prices can become disconnected from local incomes due to investment demand and expectations of appreciation.

Toronto and the Greater Golden Horseshoe: Growth Outpacing the Pipeline

- Rapid population growth driven by immigration and employment opportunities.
- Less severe geographic constraints than Vancouver, but supply limited by zoning, infrastructure coordination, and lengthy approvals.
- Large projects take years from approval to completion; starts may be strong while completions lag.
- Affordability can deteriorate if demand growth exceeds delivery, even when construction expands.

Montreal: From Relative Affordability to Tightening Markets

- Historically relatively affordable, especially in rentals, due to large rental stock and slower population growth.
- Recent pressures intensified with faster population growth and prolonged low rates.
- Higher rates after 2022 moderated price growth, but affordability challenges persisted via stronger rental demand and higher renewal payments.
- Relative affordability advantages are not permanent; conditions can shift quickly when supply is slow.

Prairie Cities: Elastic Supply with Emerging Pressures

- Calgary and Edmonton historically more affordable due to more elastic supply (abundant land, fewer restrictions, faster permitting).
- Recently, strong migration and population growth increased demand sharply.
- Supply responded more than in constrained markets, but not enough to prevent rising prices and rents.
- Even in relatively elastic markets, affordability can deteriorate when demand accelerates rapidly.

Atlantic Canada: Small Markets and Large Shocks

- Smaller markets historically had modest price growth.
- Pandemic-era remote work, migration, and demographic shifts raised demand.
- Supply was slow to adjust due to limited construction capacity and smaller pipelines.
- Lower initial price levels made percentage price increases appear especially large.

Case Studies: Comparison Table

Region	Core Demand Forces	Key Supply Constraints	Affordability Dynamics
Vancouver	Amenities, incomes, population growth, investment demand	Geography + restrictive density constraints	Small demand shocks lead to large price increases; persistent high PTI
Toronto GGH	Immigration + jobs, sustained inflows	Approvals, zoning, long project timelines	Pipeline lags demand; prices and rents remain under pressure
Montreal	Accelerating demand + low-rate legacy	Slow adjustment in supply; tighter rentals	Shift from relative affordability to strained markets
Prairie Cities	Migration-driven demand increases	Capacity constraints when demand surges	More quantity response, but still rising prices/rents recently
Atlantic Canada	Remote-work and migration shocks	Limited construction capacity	Outsized percentage price increases in smaller markets

Monetary Policy and Mortgage Renewal

- Monetary policy affects housing affordability through several channels.
- The mortgage renewal channel is particularly important in Canada.
- This channel helps explain why affordability can worsen even if house prices stop rising or fall.
- Canadian mortgages expose households to interest rate risk at renewal rather than locking costs for the full loan life.

Renewal Mechanics in Canada

- Many mortgages have fixed rates for short terms (commonly five years), while amortizations are much longer (often 25 or 30 years).
- Households periodically renew at prevailing market rates.
- Rate hikes do not hit all borrowers immediately; impacts arrive as mortgages renew.
- Renewal at higher rates can raise monthly payments substantially even if balances declined modestly.

Price Channel vs. Payment Channel

- Higher rates reduce borrowing capacity for new buyers, slowing demand and price growth (price channel).
- For existing borrowers, higher rates raise required payments at renewal (payment channel).
- Prices and affordability can move in opposite directions:
  - prices stabilize or decline, while
  - affordability worsens as monthly payments rise.

Distributional Consequences of Renewal Risk

- Recently purchased households and highly leveraged borrowers are more exposed to renewal risk.
- These households tend to be younger and more vulnerable to payment increases.
- Long-time homeowners with small balances or no mortgage are largely insulated.
- Monetary tightening can redistribute stress and exacerbate intergenerational inequality.

Renters and the Renewal Channel

- Higher interest rates raise financing costs for landlords.
- In tight rental markets, some higher costs may pass through into higher rents.
- Higher rates can delay new construction, constraining future rental supply and reinforcing rent pressure.
- Effects unfold with long and uneven lags; stress can peak well after a tightening cycle begins.

International Housing Affordability Crises

- The international housing affordability crisis refers to widespread and simultaneous deterioration in affordability across many advanced economies over the past two decades.
- Affordability problems have emerged across countries with different institutions and policy frameworks.
- This suggests common economic forces rather than isolated national policy failures.
- A core feature is divergence: housing costs rise faster than household incomes.

A Common Global Pattern

- Demand concentrates in major urban centres with jobs and amenities.
- Supply responds slowly due to zoning, regulation, infrastructure limits, and construction bottlenecks.
- Long periods of low interest rates increased borrowing capacity and raised asset prices.
- With inelastic supply, demand increases translate mainly into higher prices rather than more housing.

The United States: Regional Divergence

- In some cities, supply is highly constrained by zoning, community opposition, and lengthy approvals.
- In these markets, rising demand leads mainly to higher prices and severe affordability pressure.
- In more flexible markets, price increases have been smaller.
- The contrast highlights the central role of supply elasticity.

United Kingdom: Rental Affordability and Generational Inequality

- Rising house prices push more younger households into renting.
- Rental demand rises faster than rental supply, raising rents sharply in major areas.
- Renters can face higher effective inflation than homeowners.
- The result is intensified generational inequality in housing cost burdens.

Australia and New Zealand: Extreme Price-to-Income Ratios

- Cities reach exceptionally high price-to-income ratios.
- Drivers include strong population growth, urban concentration, constrained supply, and financial conditions that favor housing as an investment asset.
- These cases show that affordability crises can persist even in high-income countries with stable institutions.

Europe: Different Institutions, Similar Outcomes

- European countries vary in tenure systems, yet affordability problems have emerged across many cities.
- In major metropolitan areas, limited supply combined with strong demand pushed prices and rents above income growth.
- Convergence across different systems suggests interaction of global demand pressures with local supply constraints.

Why Affordability Has Become Structural

- The current episode is often described as structural rather than purely cyclical.
- Affordability worsened persistently over time.
- Younger and lower-income households are increasingly excluded from homeownership.
- Housing costs reshape labour mobility, family formation, and inequality.
- In many cases, affordability does not return to pre-boom levels even after markets cool.

Implications for Canada

- Canada fits the international pattern: strong demand concentrated in large cities, constrained supply, and financial channels amplifying price movements.
- An international lens clarifies that the issue is broader than a single-country policy failure.

Conclusion

- Housing affordability in Canada reflects interaction of strong demand growth, constrained supply, and powerful financial channels.
- Prices, rents, and payments respond differently to economic shocks.
- Affordability can deteriorate even when some indicators improve.
- Understanding these mechanisms is essential for evaluating policy responses and interpreting housing market developments in Canada and abroad.